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Imaginary Venture Capital Partners II, L.P.

Financial statements

For the year ended December 31, 2024

Imaginary Venture Capital Partners II, L.P.

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Independent Auditor's Report

General Partner
Imaginary Venture Capital Partners II, L.P.
New York, New York

Opinion

We have audited the financial statements of Imaginary Venture Capital Partners II, L.P. (the "Partnership"), which comprise the statement of assets, liabilities and partners' capital, including the schedule of investments, as of December 31, 2024, and the related statements of operations, changes in partners' capital, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2024, and the results of its operations, changes in its partners' capital, and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a

material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

BDO USA, P.C.

March 26, 2025

Imaginary Venture Capital Partners II, L.P.

Statement of assets, liabilities, and partners' capital

December 31, 2024

Assets

Investments, at fair value (cost \$117,389,789)	\$	250,378,004
Cash and cash equivalents		3,092,616
Interest receivable		9,742
Due from related parties		24,595
Prepaid assets		1,123
Total assets	\$	253,506,080

Liabilities and partners' capital

Liabilities

Accrued expenses	\$	89,419
Total liabilities		89,419

Partners' capital

Total partners' capital		253,416,661
Total liabilities and partners' capital	\$	253,506,080

Imaginary Venture Capital Partners II, L.P.

Schedule of investments

December 31, 2024

Investments, at fair value	Geography	Sector	Shares	Cost	Fair value	Percent of partners' capital
10Beauty, Inc.	United States	Technology		\$ 9,299,997	\$ 13,366,159	5.27%
Series A Preferred			3,611,971	6,299,999	10,326,259	4.07%
Series A-1 Preferred			363,742	1,000,000	1,039,902	0.41%
Series A-2 Preferred			699,569	1,999,998	1,999,998	0.79%
Ami Cole Inc.	United States	Branded Beauty and Wellness		1,818,082	1,818,082	0.72%
Series S-1 Preferred Stock			1,370,488	750,000	750,000	0.30%
Series S-2 Preferred Stock			2,690,247	1,068,082	1,068,082	0.42%
Bread Beauty Inc.	United States	Branded Beauty and Wellness				
Series Seed-1 Preferred			3,491,913	1,849,918	2,526,574	1.00%
Builder.io, Inc.	United States	E-Commerce Software				
Series A Preferred			1,374,226	3,462,500	3,462,500	1.37%
DUOS Living, Inc.	United States	Healthcare		5,499,999	5,499,999	2.17%
Series A Preferred			4,659,992	5,399,999	5,399,999	2.13%
Series A-3 Preferred			180,603	100,000	100,000	0.04%
Eon Group Holdings Inc.	United States	Technology		6,499,927	4,874,948	1.92%
Series A-1 Preferred			111,719	5,999,947	4,499,963	1.77%
Series A-6 Preferred			20,990	499,980	374,985	0.15%

Imaginary Venture Capital Partners II, L.P.

Schedule of investments

December 31, 2024

Investments, at fair value	Geography	Sector	Shares	Cost	Fair value	Percent of partners' capital
Grin Technologies Inc.	United States	Platform		\$ 11,700,045	\$ 9,741,237	3.84%
Series A-2 Preferred			169,685	4,999,972	7,909,358	3.13%
Common Equity			36,506	4,537,648	1,020,970	0.40%
Series A Preferred			8,753	1,087,987	407,995	0.16%
Series A-1 Preferred			5,070	630,194	236,322	0.09%
Series A-2 Preferred			1,148	142,695	53,511	0.02%
Series Seed Preferred			2,426	301,549	113,081	0.04%
Pomegranate Technologies Inc.	United States	Platform		9,949,996	13,646,161	5.38%
Series A Preferred			1,219,247	2,250,000	5,294,824	2.09%
Series A-3 Preferred			495,392	1,499,997	2,151,338	0.85%
Series A-4 Preferred			660,516	2,999,998	2,999,998	1.18%
Series B Preferred			736,869	3,200,001	3,200,001	1.26%
Shiftsmart, Inc.	United States	Platform		6,505,940	6,631,973	2.62%
Series B-2 Preferred			1,130,220	5,999,999	5,999,999	2.37%
Common Stock			119,045	505,941	631,974	0.25%
Shop Safely LLC *	United States	Home Goods		9,491,257	9,491,257	3.75%
LLC Interest (Class E)			250,000	4,500,000	4,500,000	1.78%
LLC Interest (Class F)			22,904	991,257	991,257	0.39%
LLC Interest (Class F-2)			46,211	2,000,000	2,000,000	0.79%
LLC Units (Class G)			204,499	2,000,000	2,000,000	0.79%

Imaginary Venture Capital Partners II, L.P.

Schedule of investments

December 31, 2024

Investments, at fair value	Geography	Sector	Shares	Cost	Fair value	Percent of partners' capital
Simulate Inc (Nuggs)	United States	Food & Beverage		\$ 3,306,060	\$ —	—
Series B-1 Preferred			100,180	574,964	—	—
Series B-3 Preferred			766,680	2,611,370	—	—
Series B-3 Preferred			35,150	119,726	—	—
SKIMS Body, Inc.	United States	Branded Apparel		10,131,042	100,721,223	39.75%
Common Stock			123,030	1,770,788	42,555,486	16.80%
Common Stock			135,718	1,953,394	46,944,205	18.52%
Series A Preferred			9,238	922,375	3,195,380	1.26%
Series A-1 Preferred			4,909	654,441	1,697,999	0.67%
Series B Preferred			18,295	4,830,044	6,328,153	2.50%
Stripe, Inc.	United States	Payments				
Series H Preferred			124,611	5,000,016	3,428,048	1.35%
Sundays for Dogs, Inc.	United States	Pets		12,349,997	28,131,160	11.10%
Series A Preferred			3,737,374	7,999,999	19,644,236	7.75%
Series B Preferred			1,188,772	2,599,999	6,248,376	2.46%
Common Stock			72,616	250,002	343,514	0.14%
Series B-1 Preferred			217,847	750,001	1,145,038	0.45%
Series C Preferred			142,689	749,996	749,996	0.30%
The X CJ Corp.	United States	Food & Beverage		11,075,032	20,994,329	8.28%
Series Seed Preferred			2,387,754	8,774,995	18,559,056	7.32%
Series A Preferred			55,996	299,999	435,235	0.17%
Series B Preferred			257,319	2,000,038	2,000,038	0.79%

Imaginary Venture Capital Partners II, L.P.

Schedule of investments

December 31, 2024

Investments, at fair value	Geography	Sector	Shares	Cost	Fair value	Percent of partners' capital
Westman Atelier Holdings, Inc.	United States	Branded Beauty and Wellness		\$ 9,449,981	\$ 26,044,354	10.28%
Series A Preferred			140,351	1,000,000	5,804,834	2.29%
Common Stock			293,848	4,499,996	10,938,040	4.32%
Series A-1 Preferred			130,599	1,999,993	5,401,496	2.13%
Series A-2 Preferred			94,295	1,949,992	3,899,984	1.54%
Total				\$ 117,389,789	\$ 250,378,004	98.80%

* Interest in the company is held through a wholly owned blocker company.

The following table summarizes the investments by geography:

Geography	Cost	Fair value	Percent of partners' capital
United States	\$ 117,389,789	\$ 250,378,004	98.80%
Total	\$ 117,389,789	\$ 250,378,004	98.80%

Imaginary Venture Capital Partners II, L.P.

Schedule of investments

December 31, 2024

The following table summarizes the investments by sector:

Sector		Cost		Fair value	Percent of partners' capital
Branded Apparel	\$	10,131,042	\$	100,721,223	39.75%
Branded Beauty and Wellness		13,117,981		30,389,010	12.00%
Platform		28,155,981		30,019,371	11.84%
Pets		12,349,997		28,131,160	11.10%
Food & Beverage		14,381,092		20,994,329	8.28%
Technology		15,799,924		18,241,107	7.19%
Home Goods		9,491,257		9,491,257	3.75%
Healthcare		5,499,999		5,499,999	2.17%
E-Commerce Software		3,462,500		3,462,500	1.37%
Payments		5,000,016		3,428,048	1.35%
Total	\$	117,389,789	\$	250,378,004	98.80%

The following table summarizes the investments by asset type:

Asset type		Cost		Fair value	Percent of partners' capital
Preferred stock	\$	94,380,763	\$	138,452,558	54.62%
Common stock		13,517,769		102,434,189	40.43%
Membership interests		9,491,257		9,491,257	3.75%
Total	\$	117,389,789	\$	250,378,004	98.80%

Imaginary Venture Capital Partners II, L.P.

Statement of operations

For the year ended December 31, 2024

Investment income		
Dividend income	\$	5,287,252
Interest income		199,300
Total investment income		5,486,552
Expenses		
Management fees		3,850,000
Professional fees and other expenses		246,260
Total expenses		4,096,260
Net investment income		1,390,292
Net realized and net change in unrealized gain (loss) on investments		
Net realized loss on investments		(8,621,881)
Net change in unrealized gain on investments		34,045,371
Net gain on investments		25,423,490
Net increase in partners' capital from operations	\$	26,813,782

Imaginary Venture Capital Partners II, L.P.

Statement of changes in partners' capital

For the year ended December 31, 2024

	General Partner		Limited Partners		Total
Partners' capital, beginning of year	\$	25,615,032	\$	201,542,824	\$ 227,157,856
Capital distributions		(494,231)		(60,746)	(554,977)
Net investment income		108,305		1,281,987	1,390,292
Net realized loss on investments		(178,195)		(8,443,686)	(8,621,881)
Net change in unrealized gain on investments		703,640		33,341,731	34,045,371
Carry allocation		6,014,753		(6,014,753)	—
Partners' capital, end of year	\$	31,769,304	\$	221,647,357	\$ 253,416,661

Imaginary Venture Capital Partners II, L.P.

Statement of cash flows

For the year ended December 31, 2024

Cash flows from operating activities

Net increase in partners' capital from operations	\$	26,813,782
Adjustments to reconcile net increase in partners' capital from operations to net cash used in operating activities:		
Net realized loss on investments		8,621,881
Net change in unrealized gain on investments		(34,045,371)
Purchase of investments		(5,950,034)
Return of capital from investments		2,705,477
Changes in operating assets and liabilities:		
Decrease in interest receivable		13,752
Increase in due from related parties		(8,465)
Increase in prepaid assets		(7)
Decrease in accrued expenses		(11,531)
Net cash used in operating activities		(1,860,516)

Cash flows from financing activities

Capital distributions		(554,977)
Net cash used in financing activities		(554,977)

Net decrease in cash and cash equivalents		(2,415,493)
Cash and cash equivalents, beginning of year		5,508,109
Cash and cash equivalents, end of year	\$	3,092,616

Supplemental disclosures of non-cash activity

Write-offs of investments	\$	8,621,881
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Imaginary Venture Capital Partners II, L.P.

Notes to financial statements

For the year ended December 31, 2024

1. Organization and operation

Imaginary Venture Capital Partners II, L.P. (the "Partnership") is a limited partnership organized under the laws of the State of Delaware pursuant to the Limited Partnership Agreement dated December 11, 2019, as amended by the Fourth Amended and Restated Limited Partnership Agreement (the "Agreement") dated March 6, 2020 and the First Amendment to the Agreement dated April 3, 2020. The Partnership has determined that it is an investment company in accordance with the Financial Accounting Standards Board ("FASB") Accounting Standards Codification Topic 946 ("ASC 946") and follows the guidance in ASC 946.

The Partnership's primary purpose is to make investments, principally by investing in and holding equity and equity-oriented securities of privately held corporations. The general purposes of the Partnership are to buy, hold, sell, and otherwise invest in equity or equity-oriented securities, whether readily marketable or not; and to exercise all rights, powers, privileges, and other incidents of ownership or possession with respect to securities held or owned by the Partnership and to engage in all activities and transactions as may be necessary, advisable, or desirable, as determined by the General Partner, to carry out the foregoing.

The Partnership's general partner is Imaginary Venture Capital Partners II GP, L.P. (the "General Partner"), a Delaware limited partnership. The General Partner makes all investment decisions for the Partnership. Imaginary Venture Capital Management, L.P. (the "Management Company"), a Delaware limited partnership, serves as the Partnership's investment management company.

The term of the Partnership extends until January 31, 2030. The General Partner may extend the term by two additional one year periods with the approval of the Advisory Board; provided that notwithstanding the foregoing, the Partnership shall terminate upon a two-thirds vote of the Limited Partners if the original members of the General Partner are not devoting required time to the Partnership, the bankruptcy, dissolution or winding up of the General Partner, an eighty-five percent vote of the Limited Partners or as otherwise required by law.

2. Significant accounting policies

This summary of significant accounting policies of the Partnership is presented to assist in the understanding of the Partnership's financial statements. The financial statements and notes to the financial statements are the representations of the General Partner, who is responsible for their integrity and objectivity. The Partnership's accounting policies conform to accounting principles generally accepted in the United States of America ("U.S. GAAP").

Basis of Financial Statement Presentation

The Partnership prepares its financial statements under the accrual method of accounting in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP"). The Partnership is an investment company and follows the investment company accounting and reporting guidance of the Financial Accounting Standards Board ("FASB") Accounting Standards Codification ("ASC") Topic 946, *Financial Services – Investment Companies*.

Imaginary Venture Capital Partners II, L.P.

Notes to financial statements

For the year ended December 31, 2024

2. Significant accounting policies (continued)

Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP requires the Partnership's management to make estimates and assumptions in determining the reported amounts of assets and liabilities, including the fair value of investments, disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of income and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

Cash and cash equivalents represents cash on hand, demand deposits held at financial institutions and investments in a United States Treasury Securities Money Market Fund. Cash and cash equivalents are held at major financial institutions and are subject to credit risk to the extent those balances exceed applicable Federal Deposit Insurance Corporation ("FDIC") or Securities Investor Protection Corporation ("SIPC") limitations. The Partnership has not experienced any losses from maintaining cash accounts in excess of federally insured limits. As of December 31, 2024, the Partnership had a cash balance of \$250,000 and cash equivalents in an overnight sweep account with a balance of \$2,842,616. Cash balances are held at two separate financial institutions. As of December 31, 2024, the Partnership did not hold cash in excess of the FDIC insured limit of \$250,000 at either institution individually.

Investment Transactions and Related Investment Income

Securities transactions are accounted for on a trade date basis. Investment transactions outside conventional channels, such as private transactions, are recorded as of the date the Partnership obtains the right to demand the securities purchased or to collect the proceeds from a sale and incurs an obligation to pay for securities purchased or to deliver securities sold, respectively. Gains and losses on the sale of investments are determined using the specific identification method. Periodic changes in the fair value of investments are reported as a change in unrealized gains or losses. Dividend income is recorded on the record date with the exception for dividend income from marketable securities which is recorded on the ex-dividend date. Interest is recognized on the accrual basis. For the year ended December 31, 2024, the Partnership recognized \$5,287,252 in dividend income and \$199,300 in interest income due to accrued interest on outstanding convertible notes.

Valuation of Investments

Investments are recorded at fair value (see Note 5) as determined in good faith by the General Partner. If no public market exists for the investments, fair value is determined by taking into consideration the cost of the securities, the price of securities of other companies comparable to the portfolio company, the original purchase price, market conditions, operating results and other qualitative and quantitative factors.

Investments for which market prices are not readily available, or are deemed inappropriate by the General Partner, are valued at their estimated fair value as determined in good faith by the General Partner after consideration of factors, including, but not limited to, quotations obtained from one or more market participants, transactions in similar instruments, marketability, restrictions on disposition, trading volume and third-party valuations. Such investments may include investments in private equity, certain debt instruments and illiquid securities of private companies. The determination of fair value by the General Partner may differ from the values that would be used if a ready market for these investments existed and such differences

Imaginary Venture Capital Partners II, L.P.

Notes to financial statements

For the year ended December 31, 2024

2. Significant accounting policies (continued)

could be material. As of December 31, 2024, the Partnership held investments valued by the General Partner of \$250,378,004, which represent 98.80% of partners' capital.

Interest Income

The Partnership recognizes interest income as it is earned except for loans for which the collectability is uncertain. Interest income on impaired loans is recognized on the cash basis. The Partnership recognized \$199,300 of interest income during the year.

Fair Value of Financial Instruments

For non-investment assets and liabilities which qualify as financial instruments, the fair value of these financial instruments approximates the carrying amounts presented on the statement of assets, liabilities and partners' capital.

Income Taxes

A provision for income taxes is not included in the accompanying financial statements, since Partnership earnings or losses are allocated to the partners for inclusion in each partner's separate income tax return. In accordance with Accounting Standards Codification ("ASC") Topic 740, a tax position is a benefit only if it is "more likely than not" that the tax position would be sustained in a tax examination, with a tax examination being presumed to occur. The amount recognized is the largest amount of tax benefit that is greater than 50% likely of being realized on examination. For tax positions not meeting the "more likely than not" test, no tax benefit is recorded. The Partnership recognizes estimated interest, penalties and income taxes related to uncertain tax positions in income tax expense. As of December 31, 2024, the Partnership determined that it had no material uncertain tax positions. As a result, the Partnership had no accrual or provision for uncertain tax positions as of December 31, 2024. The Partnership's income tax returns are generally open for examination by U.S. federal and state taxing authorities since December 31, 2021. The Partnership is not currently under examination by any U.S. federal or state income taxing authority.

Indemnification

In accordance with the Agreement, the Partnership has provided general indemnifications, out of assets of the Partnership (including insurance proceeds, if any), to the General Partner, any affiliate of the General Partner and any person acting on behalf of the General Partner or such affiliate when they are, in good faith, in the best interest of the Partnership.

Allocation of Profit and Loss

The Partnership's net Capital Transaction Gains and Losses are generally allocated twenty percent (20%) to the General Partner and eighty percent (80%) to the Limited Partners in proportion to their respective partnership percentages and agreements. Net income or loss of the Partnership (computed without taking into account items comprising of Capital Transaction Gain or Loss) is allocated in proportion to their respective partnership percentages.

Imaginary Venture Capital Partners II, L.P.

Notes to financial statements

For the year ended December 31, 2024

3. Partnership terms and related party transactions

Distributions

Distributions are allocated among the partners in the following order of priority:

The General Partner may make distributions, at such time and such amounts as determined by the General Partner in its sole discretion, of cash or securities as follows:

Until such time as the aggregate fair market value of all distributions made to each Limited Partner shall be at least equal to the aggregate amount of such Limited Partners' capital contributions, such distributions shall be made to all of the Partners in proportion to their respective Partnership Percentages;

Thereafter, such distributions shall be made twenty percent (20%) to the General Partner and the remaining eighty percent (80%) to all of the Partners in proportion to their respective Partnership Percentages.

The General Partner may make tax distributions related to the difference between the allocated gains and distributed gains at such time and such amounts as determined by the General Partner.

Carry Allocation

As of December 31, 2024, the capital accounts reflect the General Partner's deemed carry allocation based on 20% of the inception to date net capital gains. The carry allocation will remain provisional until the final liquidation of the Partnership. Since inception, the General Partner carry allocation was \$27,498,716, which includes \$1,308,044 of dividend income, \$91,405 of interest income, \$51,337 realized gains and \$26,047,930 net change in unrealized gains on investments. As of December 31, 2024, the General Partner has taken tax distributions in the amount of \$1,212,695 and \$26,866,352 remains unpaid.

Contributions and Withdrawals

Capital contributions are recorded when capital calls are due, prepaid contributions are recorded as a liability of the Partnership. As of December 31, 2024, committed capital of the Limited Partners is \$154,000,000 of which \$149,976,823 has been called representing 97% of Committed Capital. As of December 31, 2024, committed capital of the General Partner is \$3,250,000, of which \$2,988,304 has been called and collected.

Each Limited Partner of the Partnership shall contribute capital to the Partnership as requested by the General Partner upon fifteen (15) days' written notice.

Except for specific circumstances described in the Agreement, a Limited Partner is not permitted to withdraw any amount from its capital account.

Imaginary Venture Capital Partners II, L.P.

Notes to financial statements

For the year ended December 31, 2024

3. Partnership terms and related party transactions (continued)

Investment Period

As described in the Agreement, the Partnership's investment period will end on the earlier of January 31, 2025, the fifth (5th) anniversary of the initial contribution date, or six (6) months after the commencement of a Suspension Period that is not terminated.

Management Fees

Financial research, investment management, and administrative and advisory services for the Partnership are performed by the Management Company through the General Partner. Under the Management Services Agreement, the Management Company provides personnel, office space, and other expenses normally incurred in the management of the Partnership. As compensation for its services to the Partnership, the Management Company receives a management fee from the Partnership quarterly in advance. The annual management fee through the investment period of the Partnership is equal to two and a half percent (2.5%) of the capital commitments of all the partners. Beginning with the management fee payable on April 1, 2025, the annual management fee percentage shall be reduced by 0.25% per year but shall not be reduced below 1.0%. Management fees for the year ended December 31, 2024 were \$3,850,000.

Related Party Transactions

Related parties of the Partnership include the General Partner, Management Company, underlying blocker entities, and certain Limited Partners. As of December 31, 2024, the Partnership is owed \$24,595 by its underlying blocker entities. Amounts are non-interest bearing and are due on demand. In addition, Limited Partners with a total commitment of \$250,000 are related to the General Partner.

4. Significant risk factors

In the normal course of business, the Partnership enters into transactions in various financial instruments. The Partnership's financial instruments are subject to, but are not limited to, the following risks:

Market Risk

Market risk represents the potential loss that can be caused by a change in the fair value of the financial instrument. The Partnership's portfolio companies may be unprofitable and/or have no established operating history or earnings. These companies may also lack technical, marketing, financial, and other resources or may be dependent upon the success of one product or service, a unique distribution channel, or the effectiveness of a manager or management team. The failure of this one product, service or distribution channel, or the loss or the ineffectiveness of a key executive or executives within the management team may have a materially adverse impact on such companies. Furthermore, those companies may be more vulnerable to competition and to overall economic conditions than, larger, more established entities.

Imaginary Venture Capital Partners II, L.P.

Notes to financial statements

For the year ended December 31, 2024

4. Significant risk factors (continued)

The liquidity of the market for venture capital investments has fluctuated over time and may at times be illiquid. Liquidity relates to the ability of the Partnership to sell an investment in a timely manner at a fair price. The market for less liquid investments may be more volatile than the market for highly liquid investments. Investments in relatively illiquid investments may restrict the ability of the Partnership to dispose of its investments at a price and time that it wishes to do so. If the Partnership was forced to dispose of an illiquid investment at an inopportune time, it may be forced to do so at a substantial discount to market value, resulting in a loss to the Partnership.

Credit Risk

Credit risk represents the potential loss that the Partnership would incur if the counterparties failed to perform pursuant to the terms of their obligations to the Partnership. This includes the risk that investments in debt securities may not be paid in accordance with the terms of repayment and the risk that investors may not fulfill capital calls in a timely fashion. Counterparty exposure is monitored on a regular basis. The Partnership minimizes its risk by conducting transactions with established reputable institutions.

Liquidity Risk

Liquidity risk also represents the possibility that the Partnership may not be able to sell its investments at a reasonable price. This risk is mitigated by the Partnership's ten-year lifespan. Among other things liquidity could be impaired by the failure of Limited Partners to meet capital calls. This risk is mitigated as only 3% of the total committed capital remains available for future capital calls. Failure by a Limited Partner to meet a capital call could result in the Partnership having to reduce the number of investments the Partnership may make. In addition, if a Limited Partner fails to meet a capital call, the General Partner may require each non-defaulting Limited Partner to make an additional capital contribution (but not in excess of each such non-defaulting Limited Partner's available capital commitment) to make up the shortfall.

Concentration Risk

As the Partnership focuses its investments in a limited number of issuers, it may be subject to greater volatility than if it was more widely diversified. Poor performance by a few investments could severely impact the Partnership's internal rate of return.

The Partnership may own significant percentages of equity of its portfolio investments. This could prevent or delay a sale or reduce the proceeds received.

The Partnership may also have risk associated with its concentration of investments in a geographic region and in certain industries (see Schedule of Investments).

Regulatory Risk

Legal, tax, and regulatory changes could occur during the term of the Partnership that may adversely affect the Partnership. The regulatory environment for venture capital funds is evolving, and changes in the regulation of venture capital funds may adversely affect the value of the investments held by the Partnership, and the ability of the Partnership to obtain leverage

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For the year ended December 31, 2024

4. Significant risk factors (continued)

they might otherwise obtain or to pursue its trading strategies. The effect of any future regulatory change on the Partnership could be substantial and adverse.

5. Fair value of financial instruments

The Partnership values its investments according to ASC Topic 820. ASC Topic 820 defines fair value, establishes a framework for measuring fair value, establishes a hierarchical disclosure framework which prioritizes and ranks the level of market price observability used in measuring investments at fair value, and requires enhanced disclosures about fair value measurements. Fair value is the amount that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date (i.e., the exit price). Market price observability is impacted by a number of factors, including the type of investment, the characteristics specific to the investment, and the state of the marketplace (including the existence and transparency of transactions between market participants). Investments with readily available active quoted prices, or for which fair value can be measured from actively quoted prices, generally will have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.

Investments measured and reported at fair value are classified and disclosed in one of the following categories ("fair value hierarchy"):

Level 1 – Quoted prices are available in active markets for identical investments as of the reporting date. The type of investments included in Level I are publicly traded equity securities. The Partnership does not adjust the quoted price for these investments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price;

Level 2 – Pricing inputs include factors other than quoted prices in active markets, which are either directly or indirectly observable as of the reporting date, and fair value is determined through the use of financial models or other valuation methodologies. Investments which are generally included in this category are publicly traded equity securities with restrictions; and

Level 3 – Pricing inputs are unobservable and include situations where there is little, if any, market activity for the investment. Fair value for these investments is estimated by the General Partner using valuation methodologies that consider a range of factors including, but not limited to, the price at which the investment was acquired, the nature of the investment, local market conditions, trading values on public exchanges and revenue and earnings multiples for comparable securities, independent third-party valuations, discounted cash flow analyses, liquidation analyses, current and projected operating performance, financial condition, and current financing transactions subsequent to the acquisition of the investment, based on the best information available. The inputs into the determination of fair value require significant judgment by the General Partner.

Investments that are included in this category generally are privately-held debt and equity securities and investments in limited liability companies and limited partnerships.

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Notes to financial statements

For the year ended December 31, 2024

5. Fair value of financial instruments (continued)

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The General Partner's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

Due to the inherent uncertainty of valuations, however, estimated fair values may differ significantly from the values that would have been used had a ready market for the securities existed, and the differences could be material. These values are based upon available information and do not necessarily represent amounts which might ultimately be realized, since such amounts depend on future circumstances and cannot be reasonably determined until the individual positions are liquidated.

In the absence of observable market prices, the Partnership values its investments using valuation methodologies applied on a consistent basis. For some investments, little market activity may exist. The General Partner's determination of fair value is then based on the best information available in the circumstances and may incorporate its own assumptions and involves a significant degree of judgment, taking into consideration a combination of internal and external factors, including appropriate risk adjustments for non-performance and liquidity risks. Investments for which market prices are not observable may include preferred and common stocks in private companies, membership interest, promissory notes, etc. The valuation technique for each of these investments is described as follows:

Investments in Private Companies – Equity Securities and Membership Interests – Equity investments in privately-held companies consist of various classes of preferred stock or common stock and membership interests (individually or collectively "equity"). Preferred stock is generally convertible to common stock upon certain conditions such as an initial public offering. Series seed preferred stock is generally reserved for founders and early outside investors. Series A is usually the first (or second) round of outside financing. Companies issue additional series of preferred stock as the need for capital increases. Liquidation preferences may be different for each series of preferred stock. Certain investments in preferred stock carry dividend provisions, primarily non-cumulative.

The transaction price is generally the best estimate of fair value at inception. The fair value of the investment is adjusted from the transaction price to reflect the General Partner's best estimate of fair value, which is often the expected exit value in the principal market under current market conditions. Ongoing reviews by the General Partner are based on an assessment of the trends in performance of a particular equity investment from inception to the valuation date. In cases where a portfolio company fails to achieve its business goals, the fair value is deemed to be the net realizable value or liquidation value.

In making a good faith determination of the fair value of investments of privately-held equity securities, the General Partner considers valuation methodologies consistent with industry practice and U.S. GAAP. Generally, the estimated fair value of equity securities is determined by use of the market approach. When appropriate and data is available, the General Partner will first determine the enterprise value of a portfolio company utilizing inputs such as revenue multiples, price to sales ratios and other financial metrics, as well as non-financial metrics such as price per customer. Comparisons to prices from secondary market transactions, recent venture capital financings, analysis of the portfolio companies' most recent financial statements and forecasts, the markets in which the portfolio company does business, and other relevant factors are also considered. Once a reasonable estimate of a portfolio company's enterprise value is determined, the General Partner may utilize either the current value method or an Option Pricing Model ("OPM") to allocate the enterprise

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Notes to financial statements

For the year ended December 31, 2024

5. Fair value of financial instruments (continued)

value to the various classes of stock taking into consideration liquidation preferences, control premiums, and marketability discounts where appropriate. The OPM utilizes observable inputs such as risk free rate of return and unobservable inputs such as, fair value of underlying equity, estimated time to exit, and weighted average cost of capital to estimate the fair value of the security. Control premiums, liquidation preferences and discounts for lack of marketability ("DLOM") are also considered in the estimation of fair value under the market approach.

The General Partner will utilize the transaction price as part of the market approach to estimate fair value of a portfolio company when an external event occurs under an arms-length scenario. This would apply to a portfolio company that was acquired in a purchase transaction or a subsequent equity raise. In circumstances where a portfolio company liquidates, the General Partner estimates fair value based on the proceeds to be received (net realizable value). For investment in member interests of limited liability companies, the General Partner will estimate fair value, in absence of other factors at the net book value of the entity.

In the event of a public offering or a transaction with a publicly-traded entity, the General Partner values investments as follows:

1. If traded on one or more securities exchanges or the National Association of Securities Dealers Automated Quotations ("NASDAQ"), the fair value is deemed to be the closing price of the securities on the principal of such exchanges on the valuation date; and
2. If actively traded over the counter (other than on the NASDAQ), the fair value is deemed to be the closing bid price (or average of bid prices) of the securities last quoted on the valuation date as reported by an established quotation service for over-the-counter securities.

Investments in Private Companies – Debt Securities – The Partnership invests in convertible promissory notes issued by privately-held companies. When evidence supports a change in carrying value from the transaction price, adjustments are made to reflect expected exit values in the investment's principal market under current market conditions.

For investments in convertible promissory notes where no material progress has been made on the enterprise's business plan, no significant common equity value has been created in the business above the liquidation preference on the preferred shares, and no reasonable basis exists for estimating the amount and timing of any such common equity value above the liquidation preference that might be created in the future, the General Partner uses the current value method to estimate fair value. Investments in convertible promissory notes are carried at cost less a valuation adjustment for potential loss.

In situations where the convertible promissory note investee has made reasonable progress on its business plan and the possibility of an arm's length financing round becomes probable, the General Partner estimates the fair value of the enterprise utilizing the methods described above for equity securities.

In situations where circumstances indicate the convertible promissory note investee has failed or is failing on its business plan, the possibility of a subsequent round of financing becomes remote, and/or the convertible promissory note goes into default, the General Partner adjusts the carrying value of the convertible promissory note to the amount expected

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Notes to financial statements

For the year ended December 31, 2024

5. Fair value of financial instruments (continued)

to be realized. Write-downs are recorded as realized or unrealized losses in the period of determination, depending on circumstances, and current period interest income is reversed.

6. Fair value measurements

The Partnership's assets recorded at fair value have been categorized based upon a fair value hierarchy as described in the Partnership's significant accounting policies note. The following table presents information about the Partnership's assets measured at fair value as of December 31, 2024:

Investments, at fair value		Level 1		Level 2		Level 3		Total
Preferred stock	\$	—	\$	—	\$	138,452,558	\$	138,452,558
Common stock		—		—		102,434,189		102,434,189
Membership interests		—		—		9,491,257		9,491,257
Total investments, at fair value	\$	—	\$	—	\$	250,378,004	\$	250,378,004

The following table presents purchases and transfers of assets classified in Level 3 of the fair value hierarchy as of December 31, 2024:

		Preferred stock		Common stock		Membership interests
Purchases	\$	4,378,570	\$	1,571,464	\$	—

All transfers are recognized by the Partnership at the beginning of each reporting period at their fair value. There were no transfers into or out of Level 3 for the year ended December 31, 2024.

The following table summarizes the valuation methodology and significant unobservable inputs used for the Partnership's investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2024:

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For the year ended December 31, 2024

6. Fair value measurements (continued)

Asset type	Fair value	Valuation technique	Unobservable inputs	Range
Preferred stock	\$ 138,452,558	Market approach: Recent financing	Recent financing activity; Management discount	0% - 63%
Common stock	102,434,189	Market approach: Recent financing	Recent financing activity; Management discount	0% - 78%
Membership interests	9,491,257	Market approach: Recent financing	Recent financing activity	N/A
Total	\$ 250,378,004			

7. Financial highlights

These financial highlights may not be indicative of the future performance of the Partnership. Financial highlights for the year ended December 31, 2024 are as follows:

Internal Rate of Return (IRR) ¹

Cumulative IRR through December 31, 2023	17.36%
Cumulative IRR through December 31, 2024	15.30%

Ratio to average Limited Partners' capital

Net investment income ²	0.63%
Expenses before carry allocation ³	2.00%
Carry allocation ⁴	2.94%
Total expenses, including carry allocation	4.94%

1. The IRR was computed based on the actual dates of the inflows (capital contributions), outflows (cash and stock distributions), and the ending Limited Partners' capital attributable to the Limited Partners as of each measurement date. IRR is calculated net of all incentive fees and profit allocations (carried interest) to the General Partner.

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Notes to financial statements

For the year ended December 31, 2024

7. Financial highlights (continued)

2. The net investment income ratio is the excess of the Limited Partners' investment expenses over the investment income divided by the Limited Partners' average capital balance for the year. However, net investment income or loss, as defined by the disclosure requirements for investment companies, does not include any realized or unrealized gains/losses generated from the sale, recapitalization, or write-off/down of an investment. Thus, net investment income includes miscellaneous income less the Partnership expenses incurred during the year.
3. The expenses ratio is calculated as total operating expenses allocated to the Limited Partners divided by the Limited Partners' average capital balance for the year as defined by the disclosure requirements for investment companies.
4. The carry allocation ratio is calculated as carried interest allocated to the General Partner divided by the Limited Partners' average capital balance for the year as defined by the disclosure requirements for investment companies.

8. Subsequent events

The General Partner has evaluated subsequent events through March 26, 2025, the date the financial statements were available to be issued.

From January 1, 2025 through March 26, 2025, the Partnership distributed \$436,970.

From January 1, 2025 through March 26, 2025, the Partnership invested \$199,999.